

Amendment No. 1 to SB1139

Briggs
Signature of Sponsor

AMEND Senate Bill No. 1139

House Bill No. 542*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 7, Chapter 51, is amended by adding the following as a new part:

7-51-2601. Part definitions.

As used in this part:

(1) "Third-party plans examiner" means an engineer who:

(A) Is registered as a professional engineer in accordance with title 62, chapter 2, with expertise in the design and construction of utility infrastructure for water, wastewater, electric, natural gas, or storm water management and drainage; and

(B) Has appropriate liability insurance with limits of liability of not less than the utility customer's budget cost for the utility infrastructure; and

(2) "Utility" means:

(A) An entity subject to the jurisdiction of the Tennessee board of utility regulation in accordance with § 7-82-701;

(B) A cooperative, as defined in § 65-25-102; or

(C) A county-owned, metropolitan government-owned, or municipal-owned utility that provides water, wastewater, electric, natural gas, or stormwater management and drainage to the public.

7-51-2602. Installation of utility infrastructure by private contractors.

A utility in this state shall:

- (1) Not require that utility infrastructure be constructed by the utility; and
- (2) Allow a customer of the utility or person submitting a plan of development to the utility the option to use a contractor of the customer's choosing for the installation of utility infrastructure.

7-51-2603. Utility infrastructure specifications.

(a) A utility may provide reasonable construction and manufacturer's specifications for utility infrastructure to ensure that the infrastructure is constructed properly and with appropriate materials. A utility that chooses to provide such specifications shall provide persons with a schedule of all approved materials for utility infrastructure with specifications for such materials.

(b) Notwithstanding subsection (a), a utility shall not require that materials or services for the construction of the utility infrastructure be provided by a specific vendor or manufacturer.

7-51-2604. Utility infrastructure plans and designs.

(a) A utility may review the plans and designs of the utility infrastructure to be installed for approval. If the utility performs or requires such review, then the utility shall:

- (1) Not charge a fee of more than one thousand dollars (\$1,000) for review of the plans and designs; and
- (2) Complete the review within thirty (30) days of the date the plans and designs are submitted to the utility.

(b) If the utility does not complete the review within thirty (30) days, then the person who submitted the plan or design may hire a third-party plans examiner to review the plans and designs for compliance with all applicable codes.

(c) If a person engages a third-party plans examiner pursuant to subsection (b) in lieu of review by the utility, then the person shall submit the appropriate fee, if such

fee was not already submitted, and a stamped and sealed copy of all plans that were examined to the utility and provide:

- (1) The name, intended address, and local jurisdiction of the planned development;
- (2) The third-party plans examiner's name;
- (3) A sworn statement under penalty of perjury by the third-party plans examiner, declaring that the plans comply with the applicable codes and that no deficiencies remain;
- (4) A statement of the applicable codes of the local jurisdiction and the codes used to perform the plans examination;
- (5) The occupancy classification of the structure; and
- (6) Other information as the utility may reasonably require.

(d) No later than ten (10) business days after submission of the documents required under subsection (c), the utility shall:

- (1) Approve the plans, if the plans comply with adopted codes;
- (2) Provide to the person, or the person's designee, a report of deficiencies; or
- (3) Request additional information necessary to ensure compliance with applicable codes.

(e) If ten (10) business days pass and the utility fails to take an action as required by subsection (d), then the utility must refund any associated plan review fees that were collected and the plans are deemed approved.

(f) If the plan of development is approved after review by a third-party plans examiner, the utility shall perform inspections of the installation and construction of the water, wastewater, electric, natural gas, or storm water management infrastructure of the development. The utility may charge a fee for such inspections. The fee must not exceed two percent (2%) of the total cost of the development.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it, and applies to plans of development submitted on or after that date.